

3-6 Adjusted Trial Balance

After the adjusting entries are posted,
an

Objective 6 - Prepare an adjusted trial balance.

adjusted trial balance (The trial balance prepared after all the adjusting entries have been posted.)

is prepared. The adjusted trial balance verifies the equality of the total debit and credit balances before the financial statements are prepared. If the adjusted trial balance does not balance, an error has occurred. However, as discussed in Chapter 2, errors may occur even though the adjusted trial balance totals agree. For example, if an adjusting entry were omitted, the adjusted trial balance totals would still agree.

Exhibit 9 shows the adjusted trial balance for NetSolutions as of December 31, 20Y3. Chapter 4 discusses how financial statements, including a classified balance sheet, are prepared from an adjusted trial balance.

Exhibit 9

Adjusted Trial Balance

NetSolutions Adjusted Trial Balance December 31, 20Y3			
	Account No.	Debit Balances	Credit Balances
Cash.....	11	2,065	
Accounts Receivable.....	12	2,720	
Supplies.....	14	760	
Prepaid Insurance.....	15	2,200	
Land.....	17	20,000	
Office Equipment.....	18	1,800	
Accumulated Depreciation—Office Equipment.....	19		50
Accounts Payable.....	21		900
Wages Payable.....	22		250
Unearned Rent.....	23		240
Common Stock.....	31		25,000
Dividends.....	33	4,000	
Fees Earned.....	41		16,840
Rent Revenue.....	42		120
Wages Expense.....	51	4,525	
Supplies Expense.....	52	2,040	
Rent Expense.....	53	1,600	
Utilities Expense.....	54	985	
Insurance Expense.....	55	200	
Depreciation Expense.....	56	50	
Miscellaneous Expense.....	59	455	
		<u>43,400</u>	<u>43,400</u>

Pathways Challenge

This Is Accounting!

Economic Activity

Delta Air Lines (DAL) offers air transportation service to destinations throughout the world and serves more than 180 million passengers each year. In an effort to retain and increase passenger loyalty, Delta encourages its passengers to join its SkyMiles (frequent flyer) program. Passengers earn mileage credits for award travel as well as earn “elite” status that includes early boarding and free checked baggage. SkyMiles credits never expire.

Assume that during December 20Y6 you flew on Delta Air Lines using a ticket you purchased for \$1,000 that earned 2,000 mileage credits that you plan to use in 20Y7.

Critical Thinking/Judgment

Should Delta record \$1,000 as revenue for 20Y6?

How should Delta account for the 2,000 mileage credits?

Can you think of an adjusting entry related to the 2,000 mileage credits for the year ending December 31, 20Y6, that Delta might have to record?

Analysis for Decision Making

Vertical Analysis

Comparing each item on a financial statement with a total amount from the same statement is useful in analyzing relationships within the financial statement.

Objective 7 - Describe and illustrate the use of vertical analysis in evaluating a company's performance and financial condition.

Vertical analysis (An analysis that compares each item in a current statement with a total or key amount within the same statement.)

is the term used to describe such comparisons.

In vertical analysis of a balance sheet, each asset item is stated as a percent of the total assets. Each liability and stockholders' equity item is stated as a percent of total liabilities and stockholders' equity. In vertical analysis of an income statement, each item is stated as a percent of revenues or fees earned.

Vertical analysis is also useful for analyzing changes in financial statements over time. To illustrate, a vertical analysis of two years of income statements for J.

Holmes, Attorney-at-Law, follows:

J. Holmes, Attorney-at-Law Income Statements For the Years Ended December 31				
	20Y7		20Y6	
	Amount	Percent*	Amount	Percent*
Fees earned	\$ 187,500	100.0%	\$ 150,000	100.0%
Expenses:				
Wages expense	\$ (60,000)	(32.0)%	\$ (45,000)	(30.0)%
Rent expense	(15,000)	(8.0)%	(12,000)	(8.0)%
Utilities expense	(12,500)	(6.7)%	(9,000)	(6.0)%
Supplies expense	(2,700)	(1.4)%	(3,000)	(2.0)%
Miscellaneous expense	(2,300)	(1.2)%	(1,800)	(1.2)%
Total expenses	\$ (92,500)	(49.3)%	\$ (70,800)	(47.2)%
Net income	\$ 95,000	50.7%	\$ 79,200	52.8%
*Rounded to one decimal place				

The preceding vertical analysis indicates both favorable and unfavorable changes affecting the income statement of J. Holmes, Attorney-at-Law. The increase in wages expense of 2.0% (32.0% – 30.0%) is an unfavorable change, as is the increase in utilities expense of 0.7% (6.7% – 6.0%). A favorable change is the decrease in supplies expense of 0.6% (2.0% – 1.4%). Rent expense and miscellaneous expense as a percent of fees earned were constant. The net result of these changes is that net income decreased as a percent of fees earned from 52.8% to 50.7%.

The analysis of the various percentages shown for J. Holmes, Attorney-at-Law, can be enhanced by comparisons with industry averages. Such averages are published by trade associations and financial information services. Any major differences between industry averages should be investigated.

Make a Decision

Vertical Analysis

Analyze Amazon.com (MAD 3-1) (Continuing company analysis)

Analyze Netflix (MAD 3-2)

Analyze World Wrestling Entertainment (MAD 3-3)

Analyze Chipotle Mexican Grill (MAD 3-4)

Analyze Nike (MAD 3-5)